

Degree of necessity

Necessities tend to have an inelastic demand whereas goods that are luxuries are more elastic in demand.



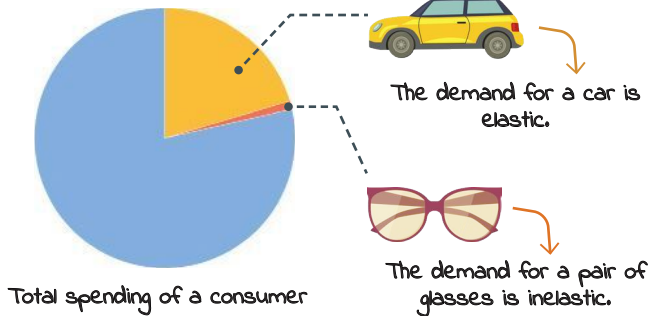
Necessities like pulses, spices and fruits remain inelastic



The prices of fancy clothes and mobile phones are relatively elastic

The proportion of income allocated to spending on the product

If a product forms a large proportion of total spending by the consumer, the consumer tends to be more concerned about the price and thus the price is more elastic. At the same time, for items that form a small percentage of total consumption, the demand is inelastic.



Whether the product is subject to habitual consumption

Some products become habits for the consumer and their consumption becomes less price elastic. It becomes a default choice.



Tobacco



Alcohol